



**CENTER
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Serving Investors, Public Company Auditors & the Markets
Affiliated with the American Institute of CPAs

A Sound Approach to Professional Skepticism

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A Sound Approach to Professional Skepticism

Introduction to the CAQ

- CAQ founded in 2007
- Providing...
 - Thought leadership
 - Research
 - Resources
 - Partnerships





A Sound Approach: Skepticism for Everyone

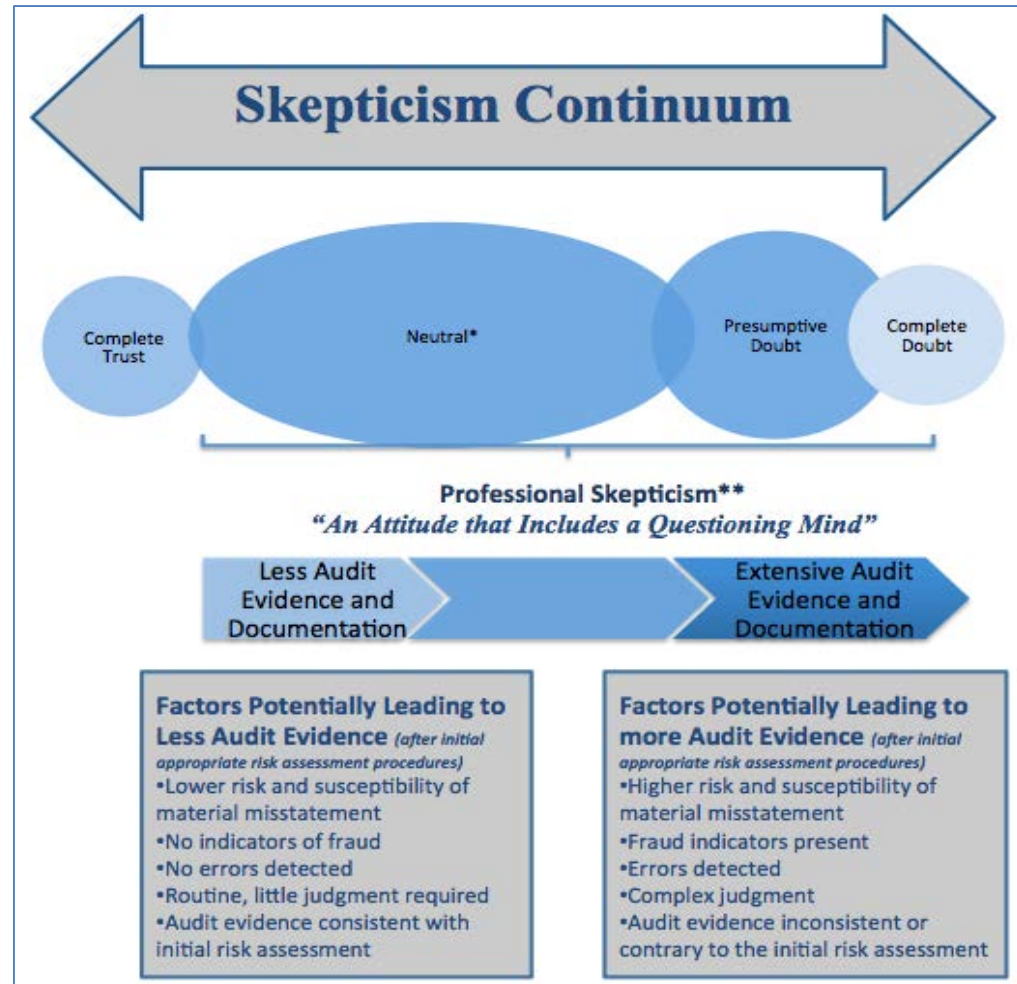
- Management
- Boards/Audit committees
- External audit
- Internal audit



Skepticism Continuum

- Finding the appropriate level of skepticism
- Different approaches have impact on efficiency

A Sound Approach to Professional Skepticism



* Neutral—neither assuming management dishonesty nor unquestioned honesty.

** Professional Skepticism does not include the area of the continuum depicted by complete trust; in the area depicted as complete doubt, the auditor will move to a forensic mindset.

Source: Glover, Steven M. and Douglas F. Prawitt. Enhancing Auditor Professional Skepticism. Global Public Policy Committee. 2013.



Skepticism Supports an Ethical Culture

- Avoiding ethical pitfalls
 - Example: “Everyone does it”
- Knowing and analyzing behavior
 - Do the “words match the music”?



Etiquette Is Essential to Effective Skepticism

- Setting
- Word choice and vocal tone
- Listening skills
- Facial expression
- Body language



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Thank You

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